Executives
Alfred Penny - President of Bimbo Bakeries USA Inc
Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board
Guillermo Jorge Quiroz Abed - Chief Administration & Financial Officer and Member of Advisory Board
Steve Mollick -

Analysts
Akshay S. Jagdale - Director and Equity Research Analyst
Armando Pérez Núñez -
Fernando Ferreira - Director
José Juan Yordán - Research Analyst
Lauren Elaine Torres - Analyst
Lillian Starke - Research Associate
Luca Cipiccia - Research Analyst
Roy Andrew Yackulic - Director and Corporate Credit Research Analyst
Unknown Analyst -

Presentation

Operator
Good morning, everyone, and welcome to Grupo Bimbo's Third Quarter Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com. Before we begin, I would like to remind you that this call is being recorded and that information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements. I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Thank you very much. Good morning, everyone and thank you for joining us. I am here today with Fred Penny, the Head of our U.S. Operations and several members of our finance team. As usual, we will cover the key factors and trends driving performance in this period. We will be happy to take any questions you may have at the end.

Overall, this was a very solid quarter for Grupo Bimbo. Aside from the fact that we benefit on a comparative basis from last year, all the key operating metrics this quarter showed substantial improvement. This reflects our global strategy of becoming a low-cost producer, the continued success of integration efforts in the United States and operational improvements in Iberia.

Looking at performance by region, in Mexico, sales volumes continue to trend positively on a sequential basis. On the cost-of-goods sold side, we benefit from lower costs on key inputs such as sugar and oil as well as favorable FX, which more than offset the investment in marketing and distribution and helped drive the improvement in operating margin.

Moving onto the United States, sales grew almost 5% in dollar terms. Despite of that [ph] strength in California. Therefore, it was all the more impressive as we continue to grow volumes across the remainder of the country. This is in line with our key objectives of maintaining and accelerating momentum in new products introduction and continuing to aggressively grow our brands in order to defend market share gains. I can highlight the launch of the Beefsteak brand in 6 markets this quarter, as well as accelerating sales of the Sara Lee Cake snacks line.

That said, what is particularly notable about this quarter is that despite higher average raw material costs and expected integration expenses, there was a significant improvement in operating performance. Even excluding the noncash charges from the year-ago period, operating income at BBU would've risen more than 45% this quarter, which was driven entirely by our asset optimization strategy, synergies, waste reduction and productivity initiatives.

Year-to-date, we have announced 6 plant closures and started up the state-of-the-art facility in Texas and have made significant progress in our new Pennsylvania facility set to open in January. Continuing on to Latin America, where the consumption environment remains fairly challenging. We were able to generate volume growth in several key markets, as well as overall sales growth despite the FX impact. Production efficiencies and some easing on raw materials helped generate gross margin improvement and we significantly narrowed the operating loss in the region.

A quick comment on Brazil. On the top line, we're facing a challenging market with an overall lower demand. Our 3-pronged approach to sales, costs and expenses and putting in place the right infrastructure to scape [ph] is progressing as planned. Lastly, looking at Iberia, I am pleased to report good progress in that operation. The macroeconomic picture certainly hasn't changed. While the numbers you are seeing on both the top line and the operating level points to successful brand differentiation, new product launches, increased investment in marketing and distribution and solid execution at the point-of-sale.

As we head into the final stretch of the year, I want to share with you that we are continuing to execute on our 4 key global initiatives: local supply chain; global procurement; talent and leadership development; and health and wellness. The first 2 are delivering tangible financial results, as seen in our quarterly performance, and the latter 2 are enhancing the sustainability of the organization on our products about the volume.

In terms of the company's consolidated financial position, our debt to EBITDA ratio was 2.4x in September compared to 3x in December and 2.6x in June. Year-to-date, we have paid down more than MXN 2.3 billion of our obligations and continue to pursue our target leverage ratios to a disciplined approach to cash management.

Before turning the call to your questions, I anticipate some of you will be asking about legislation recently proposed in Mexico, for a special tax on production and services, known locally as IEPS, the Spanish acronym for Impuestos Especial Sobre Producción y Servicios, among other tax changes. As you know, this would affect part of Grupo Bimbo's operation in Mexico and since the approval of all legislation is still pending, we will update you on these developments along with our guidance for 2014 on the Q4 conference call. That concludes my remarks this morning. So Amy, at this point, we're ready for the question-and-answer session.

Question and Answer

Operator
[Operator Instructions] Our first question comes from Lauren Torres at HSBC.

Lauren Elaine Torres
My question or questions are on Mexico, I think you mentioned in the quarter, you did see some sequential improvement in volumes. Just curious if you could talk a bit more about that, what you're seeing on a quarter-over-quarter basis and what you're seeing from a consumer standpoint, if we are seeing improvements, do you think that will continue into the fourth quarter? And I guess secondly, I understand you'd rather talk about the tax after we hear more in a month or so. But just curious, in light of the environment we're experiencing now and your ability to raise prices, would your strategy or typically your strategy be to raise prices to cover this tax increase? Or you feel there are other opportunities to offset it?

Daniel Javier Servitje Montull
Well, I'll start with the second one. As you know, the measures -- these measures and many others are still in discussions in the Senate. So at this point, we cannot make any judgment or any final comment on what the impact on the outcome of this legislation will be. On the first one, let me tell you that most of the increase in sales came as a result of a mix change and some slight increases in prices and a reduction on promotional allowance. And so, a volume is still not high on our growth. There are some lines that are growing but all in all, we're not seeing a growth in volume.

Lauren Elaine Torres
And I guess, can you just expand on that, on what was the mix impact and the promotional activity? Just to get a sense of where the benefit is coming from?

Daniel Javier Servitje Montull
Yes. We had some new product introductions that were very good, especially on the sweet bread line. And that was part of the mix change.

Operator
Our next question comes from Akshay Jagdale at KeyBanc.

Akshay S. Jagdale
Can you talk a little bit about the U.S. market? And I think you mentioned promotional activity, can you just help us, have you seen any change in promotional activity? I think the reported Nielsen/IRI price points are inching up but perhaps you could help us understand, what's happening with promotional activity now that Hostess assets are in the hands of another company?

Daniel Javier Servitje Montull
I will relay this question to Fred Penny. Fred, please?

Alfred Penny
Sure, Daniel. You are correct in your point on average pricing in the category, in the bread category, for example, according to IRI inching up. It was a bit higher in the third quarter than it had been running

year-to-date. But we're talking about 1% to 2% to 2.5% sort of ranges, at least in the IRI data that we've seen. Clearly, there was activity in the quarter with Hostess cake being reintroduced, and then sort of at the very tail end of the quarter, the Wonder brand also being introduced. But I would say at this stage, given the timing of those introductions, certainly on the bread side, it would be difficult to draw any conclusions in terms of what the impact has been or might be on overall promotional activity. Aside from those events, I wouldn't highlight any significant changes in the kind of promotional activity we've seen, certainly in the bread category at any rate.

Akshay S. Jagdale
That's helpful. And just on that topic, I mean, is it your expectation over the next 2 or 3 years that the industry is more, or less, rational on pricing and promotional activities, as a result of the consolidation that has happened?

Alfred Penny
I've made this point in the past. I think it remains to be seen how the industry ends up performing. To my own view has been and still is that the customers and the consumers tend to determine promotional activity and pricing in the market by their ability to make choices. And I think that -- so that remains to be seen. It's clearly a different landscape and it will again change going forward with these former Hostess Brands being reintroduced. But I think it still remains to be seen how that all turns out.

Akshay S. Jagdale
And just one last one. In terms of your priorities in the U.S. market share versus profitability, I mean is there one that supersedes the other? I mean, it seems like if you just look at the reported data, your branded share is down and that's mainly because of California. But it's not, if you exclude California, it's not really up. But your margins obviously are performing really well. It seems to me from 1000 [ph] outside just macro, it looks like you're focused a lot of margins. But is that a fair assessment and is that going to change? Or is there like a market share push as well that we might see?

Alfred Penny
Yes. I think, I would say our focus is balanced both on growing our categories and our brands and in significantly improving our cost position. And both on a year-to-date basis. And in the quarter, in particular, I feel that the organization made good progress on both. Our volume actually was fairly strong in the quarter, a bit stronger than it had been year-to-date. But we've also got a fairly diversified portfolio with a significant sweet goods business. And so the answers are different, somewhat different by category. But I think we're taking a balanced approach and we're going to continue to do that. And I'm confident that we've got opportunities in both of those areas, both in terms of growth and in terms of becoming a much more productive company.

Operator
Our next question comes from Sergio Matsumoto, at Citigroup.

Unknown Analyst
I'm calling on behalf of Alex Roberts. Could you just remind us on your hedging policy? I understand for the wheat is 4 to 6 months hedging policy but how about for sugar and oil which is 2 of the raw materials you state in this quarter? Are there any financial hedges or is it just a physical inventory that you hold? And related to that, is it fair to assume that these 2 inputs, sugar and oil, are just to imagine [ph] your weight on COGS as your wheat and wheat processing your COGS?

Daniel Javier Servitje Montull
Yes. Sergio, as you may know, the most important raw materials that we have is wheat flour. The next one is sweeteners and the last one is -- fasteners. All of those have the same policy of hedging for 4 to 9 months.

Unknown Analyst
And just one more question on LatAm. The EBITDA margin seems to have improved in the last 2 quarters. Is this a sustainable improvement and what kind of EBITDA margin can we expect for next year? And if you could give us an update on the Brazil's turnaround?

Guillermo Jorge Quiroz Abed
This is Guillermo Quiroz. As you mentioned is that the change is an important one. As we have said before, finally we made a large improvement [ph] on the balance sheet in the previous quarter. And now, I think that the number are there, existing in our sustainable [ph] and we are not discussing any future impact on that sense. And the second part of your question was? Oh, the Brazil. Yes, it's still on the restructuring process. Actually, this restructuring process is having a solid movement. We are getting operations much more in control. Unfortunately, what's happening today is that the situation in the market is very soft. But from the inside part, we are very happy to be in -- that we are obtaining the proper control measures that we weren't before.

Operator
The next question comes from Pedro Fagunes [ph] at Goldman Sachs.

Luca Cipiccia
Hi, it's Luca Cipiccia actually from Goldman Sachs. Just a follow-up question on Brazil, if I may. Just to understand. I wasn't quite clear from the release. If you could comment on actually -- I didn't quite understood if your sales are up or down in the quarter in constant currency. And maybe if you could comment a little bit on what you're doing in terms of prices and trying to revitalize demand that seemed to be anemic in this market, that would be my first question.

Guillermo Jorge Quiroz Abed
Yes. Basically, if there is an impact -- I'm not sure about this. It's something like a 15% [ph] impact coming from the devaluation of the real against the dollar. So what we're looking at now is the numbers in Mexican pesos that include this impact. And that is also true for all our Latin American operations. Basically, during this year, the Brazilian real and the Argentina peso and the Venezuelan bolivar suffer some impacts on their currency. So the impact is there but what I was trying to say before is that volumes in the market are not strong. So we are not being able to increase our sales as much as we would like to.

Luca Cipiccia
But it was still positive in local currency? Positive growth?

Guillermo Jorge Quiroz Abed
Yes, yes, yes.

Luca Cipiccia
Okay and so are volumes?

Guillermo Jorge Quiroz Abed
Yes. It's close to see where it's profited in both measures.

Luca Cipiccia
And if I can ask another general question as a follow-up to what is happening in Mexico. Just trying to understand a bit of context of how much scope you may have in terms of product reformulation given that some of the measures that are being proposed are linked to set of specific caloric content? And I understand perfectly if you don't want to comment on the impact but just to give us an idea of how much -- how far advanced you are in potentially reformulating some of the products or trying to mitigate this, given that it's based on calorie rather than another type of methodology.

Daniel Javier Servitje Montull
Yes, there's a wide range of opportunities to reformulate their products and we have alternatives. What we have to be very careful about is really how much the reformulation changes the profile of the product and how close the consumers are to those changes. Over time, we have been making a lot of changes on our products, but we have to make them very subtle so that the nutritional profile of our products have been improving over time. But we take a very close -- I mean, we are very careful in making those changes so that they are acceptable to the consumer and perceived as an improvement rather than detracting the preference. So all in all, there are options and if this measure goes ahead, we'll continue to look on the opportunities or alternatives to go on reformulating and seeing if that's something that the consumers would like us to do.

Operator
The next question comes from Armando Perez of Crédit Suisse.

Armando Pérez Núñez
Just one question, if I may. We were wondering how was the formal sector performing versus the supermarkets and fruitellas and if you could give us a breakdown of pricing and balance as well on each channel?

Daniel Javier Servitje Montull
Yes. Let me tell you that, I will give you just again, a general comment. We're seeing some channels growing faster such as the C-store channel in Mexico. The other channels, I would say that are behaving on a very similar pattern, not much a difference among the rates of growth in them. So it's a sluggish market and we're not seeing a big changes in any or shift in any channel with the exception of the C-store channel.

Operator
Our next question comes from Fernando Ferreira of Bank of America Merrill Lynch.

Fernando Ferreira
I have 2 questions, one in Mexico and one in the U.S. In Mexico, just to understand, what sort of elasticity of demand have you seen historically in Mexico to higher brand?

Daniel Javier Servitje Montull

Yes, that's a good question. And we have, I would say, we're combining a lot of information about elasticity. We have not had, I would say, a common trend. Sometimes, the elasticity is high and sometimes, we've been able to pass prices and then maintain volumes. So there were a lot of things happening around those changes in the past. So we're researching on understanding what's the impact in the future. But let me tell you that there's not just a one common answer. On the U.S., maybe, Fred, could you take that one?

Alfred Penny
Just a clarification, Fernando. Are you asking the same question for the U.S. or do you have a separate question?

Fernando Ferreira
Yes, I had a separate question in the U.S. but regarding Mexico, do you think that the recent weakness that you're seeing to consumers, do you feel that there is an environment to pass through higher pricing or would you look into cost-cutting opportunities into next year?

Daniel Javier Servitje Montull
Well, we have been doing both. This year, we have been able to raise prices just a bit over inflation. And next year, we hope as the government has mentioned, that the economy will start having more speed to grow. But nevertheless, we are also quite focused on reviewing all our opportunities to become a better low-cost producer and also to review our distribution schemes to make them more efficient as well. So, I would say that it's a combination of both but with the intent of becoming more competitive.

Fernando Ferreira
And then my second question in the U.S. Just wanted to know how advanced are you in your plan, in your synergies plan and your reorganization plan? And what is left in practical terms for you to do in terms of the integration?

Alfred Penny
Fernando, we are on pace to achieve the $200 million synergy goal that we had established, coming out of 2014. And we feel pretty good about our efforts this year and going forward. There is more work to do in the overall supply chain, both in manufacturing and bakeries and in our distribution area. But that work is underway and it will continue into next year. But I'm confident that the organization is going to achieve the synergy levels and we're going to stay on track to the $200 million.

Fernando Ferreira
Great. And do you see any additional costs to reach the $200 million or not really at this point?

Alfred Penny
I think, from a cost standpoint, we're on pace on cost as well. There's always some timing changes depending on -- things do change. But I think overall, both in terms of the goal and the investment needed to achieve it, we're on pace.

Operator
Our next question comes from Roy Yackulic at Bank of America.

Roy Andrew Yackulic

It's actually been answered.

Operator
Our next question comes from José Yordan at Deutsche Bank.

José Juan Yordán
My question is just a follow-up to the last one on the U.S. integration. I see that you have more to do next year, et cetera, but I guess I was just interested in terms of the integration costs, when do they start leveling off to -- when does the fat part of the curve end and begin to -- when do the integration begin to fall towards the sort of 5 million to 10 million per quarter versus the much greater amounts that we've seen lately? I mean, is there any one point when we're really just getting to the 8th inning here, in terms of integration costs? And if you can share that with us, that would be great.

Alfred Penny
José, I will take that one. I think next year, 2014, will be directionally consistent on integration costs with 2013, with this year. And then, we will begin to drop off as we move into 2015 and at that point, start to wind down.

Operator
Our next question comes from Lillian Starke at Morgan Stanley.

Lillian Starke
My question is just on the tax rate. This year, it has been relatively high, the effective tax rate. I was just wondering if this is sort of a sustainable level or do you expect a lower tax rate in coming years?

Guillermo Jorge Quiroz Abed
Yes, Lillian. Yes, the rate we have today is high, cost [ph] about 10 points above our theoretical 30%. Of those points, about half or about 4% is coming from the profit that we get from the U.S., that's, as you know the tax rate is higher there. And the rest of the impact, there are a lot of thing of course, but the rest of the impact is coming mainly from the fact [ph] that the Brazilian operation is still reaching normally [ph] and we are not considering more [ph] taxes to compensate for the next quarter, you should expect to have the same tax rate. On the long-term of course hoping that the senior operation will work through on a much better path. And so, we could expect that to happen [indiscernible] to recover about 4 points of growth, 3 or 4 points from the 10 points we have to pay above the 30% rate.

Operator
Our next question comes from the Diego Maya at HSBC.

Unknown Analyst
Just wondering if you guys have any updates on the pension fund liability in the U.S.? If you any plans to withdraw from any of the pension plans?

Steve Mollick
Yes, Diego, this is Steve Mollick in the U.S. With regards to the MEPPs withdrawal liability, there's really no change. Our overall contingent withdrawal liability is about $1.6 billion. And of that, about half is reserved for. And that's consistent with the opening balance sheet as we acquired Sara Lee. So, no change to that. And no anticipated triggers or withdrawals in the near future.

Operator
At this time, we show no further questions. Would you like to make any closing remarks?

Daniel Javier Servitje Montull
Thank you, all, for your time today. And as always please, do not hesitate to contact us with any further comments or questions you might have and we look forward to speaking with you soon. Thank you very much.

Operator
The conference is now concluded. Thank you for attending today's presentation. You may now disconnect.

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